



ANY LACK OF CONFIDENCE IN THE ECONOMIC FUTURE OF THE UNITED STATES IS FOOLISH

THE WALL STREET CRASH (1929)

IN CONTEXT

FOCUS

The Great Depression

BEFORE

1918 The global economy struggles to recover its stability after the disruption of World War I.

1922 The US economy starts to grow rapidly as factories mass produce goods.

1923 Prices in Germany spiral out of control in hyperinflation that destroys people's savings.

AFTER

1930 Mass unemployment hits the US, Britain, Germany, and other countries.

1939 The advent of World War II sees an increase in employment and government spending, speeding recovery.

1944 World leaders agree to set up the International Monetary Fund (IMF) and World Bank to finance economic development.

Over six desperate days in October 1929, shares on the New York Stock Exchange crashed. The downturn began on October 23rd, when stocks from car manufacturer General Motors were sold at a loss and the market started to collapse. Panic set in, and the next day the market nose-dived.

On Tuesday October 29, which became known as Black Tuesday, stock prices plunged even lower. In total, \$25 billion, approximately \$319 billion in today's market, was lost. It was the biggest financial catastrophe ever, and it plunged the world into the Great Depression.

Roaring Twenties

The US had recovered quickly after World War I, and factories that had made supplies for the war effort switched to producing consumer goods such as cars and radios. The growth of new technologies and mass production saw economic output increase by 50 percent; the age of prosperity and consumerism that resulted became known as the Roaring Twenties.

Newspapers and magazines were filled with stories of people becoming rich overnight by dabbling in the stock market, and thousands of ordinary Americans bought shares, increasing the demand for them and inflating their value. Between 1920 and 1929, the number of shareholders rose from 4 million to 20 million.

By late 1929, there were signs of trouble within the American economy: unemployment was on the rise, steel production was declining, construction was slowing, and car sales had dipped. Still confident they could make a fortune, some people continued to invest on the stock market. However, when the stock prices began to drop in October 1929, panic set in. The ensuing crash triggered a worldwide recession known as the Great Depression.